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Research

The Main Event: Trump, Xi, and the Art of the Truce

One geopolitical event in brief. What to expect. What to watch.

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IMPORTANT RESEARCH DISCLOSURES LOCATED IN APPENDIX 1.

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Washington summit should extend stability into H1 2027...

...but the underlying China-US economic squeeze is set to continue

Why a quiet summit is a win for markets. As in May, our base case for the 24 September summit between presidents Trump and Xi is a meeting heavy on positive optics but light on deliverables. Though a breakthrough is unlikely, a **successful tactical summit amid strategic competition is the realistic best-case outcome**: it should extend top-level stability into H1 2027 and minimise near-term risks of decoupling, a security crisis, or a disruptive trade war.

The 3 November US midterms could incentivise the Trump administration to seek deals, as voter cost-of-living concerns are highest since April. Possible deliverables include progress on a **Board of Trade** for non-sensitive goods, **agricultural purchases**, **targeted investment deals**, and an extension of the 2025 **Busan agreement**, which postponed a range of mutual economic restrictions until November 2026. But even if not secured on the 24th, we assess that an extension is likely before the deadline.

Economic and national security concerns will put a ceiling on dealmaking. We are cautious about progress on a **Board of Investment** or **broad investment pacts**, despite an expected Chinese business delegation. Their presence is more likely a reciprocal gesture to the May visit by US CEOs rather than a precursor to sweeping bilateral agreements. Mutual national security concerns make structural breakthroughs difficult, and any potential deals – such as **Chinese automotive investment** in the US – would likely face significant political and regulatory headwinds.

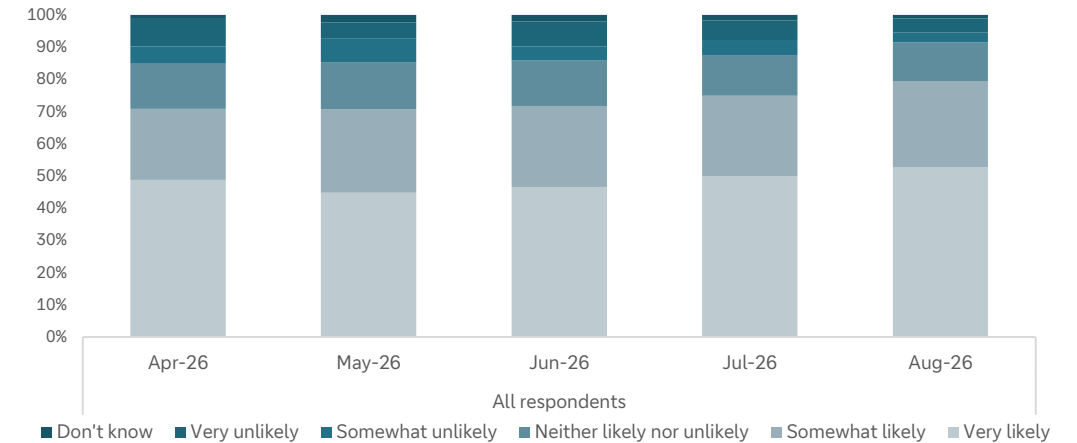
Trade remains an unresolved bilateral issue. While tensions have subsided and the Board of Trade could ease some tariffs, [differences](#) persist amid rebounding Chinese exports. Washington is also set to unveil **new overcapacity tariffs** on 16 economies, including China, while seeking to **restrict Chinese inputs** in North American supply chains and targeting alleged **transshipment**.

The AI race is moving too fast for summit diplomacy to slow it down. Both sides could reportedly hold a high-level dialogue ahead of the summit. This would likely focus on areas of consensus, such as **addressing misuse by non-state actors**. There is little prospect of slowing the escalating China-US AI race, and even less that talks could reverse growing tech restrictions (see [list](#)).

Geopolitical issues will loom large, but policy shifts are unlikely. Differences over the war in **Iran** – including recent US [sanctions](#) on dozens of mainland and Hong Kong entities – and **Taiwan** will likely feature, but breakthroughs on either issue remain improbable. A key watchpoint is whether President Trump continues to seek negotiating leverage by signalling further delays to arms sales to Taipei.

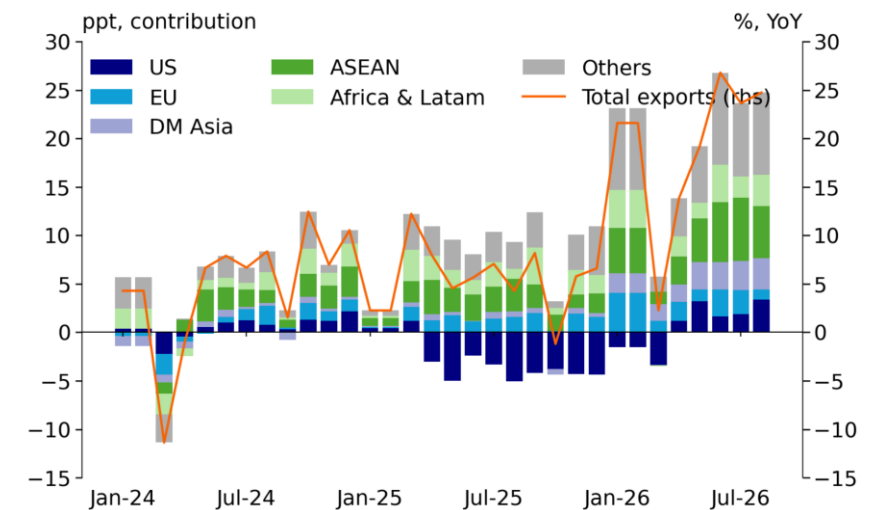


US participants were asked: How likely or unlikely is it that current cost-of-living concerns will influence your vote in the midterms?



Source: dbDataInsights. Responses collected April-August 2026 from an Online Nationally Representative sample of ~600 US respondents.

Chinese exports to the US rebounded in August



Source: Deutsche Bank Research, CEIC. For more detail see: [China Macro: Trade flows accelerated in August - Deutsche Bank Research](#)

After the summit: Key China and US watchpoints for Q4

Please also see our [This Month in Geopolitics](#) publication series for deeper dives into upcoming global events, and our [90-day geopolitical calendar](#), updated monthly.



Date	Market(s)	Comment
October	China	The Central Committee of the Communist Party of China will hold its Fifth Plenary Session . This will be one of the most important events on the country’s political calendar ahead of the 21 st Party Congress to be held in late 2027. The Plenum will focus on Party governance in preparation for key leadership reshuffles at the next Congress.
3 November	US	In the Congressional midterm elections, voters will decide 435 House seats, 35 Senate seats and governors in 39 states and territories. These elections will determine Congressional control, significantly influencing President Trump’s ability to shape national policy. If a changed balance of power in Congress stalls domestic legislation, the administration will likely lean on executive tools. President Trump could focus on foreign policy and trade, emphasising tariffs, US primacy in the Western Hemisphere, and reducing dependencies on China to build his legacy.
10 November	US-China	The 2025 Busan agreement is set to expire, but will likely be extended ahead of the deadline. This would delay new bilateral economic measures including expanded export controls and tariffs.
18-19 November	APEC	China will host the APEC Economic Leaders’ meeting . The summit could see a Xi-Trump meeting on the sidelines, and may shape regional economic architecture for years to come.
14-15 December	G20	The G20 Summit in Miami may become contentious due to Ukraine-related divisions, trade and tariff disputes, climate financing disagreements and questions around global governance reforms. The summit could also see this year’s fourth meeting between presidents Xi and Trump.
December	China	China’s annual Central Economic Work Conference will review past economic performance and set 2027 growth targets and macroeconomic policies. Key priorities likely include implementing the 15 th Five-Year Plan, boosting domestic demand, stabilising the property sector, and strengthening technological self-reliance amid geopolitical competition with Washington.
December	US	As the US Congress prepares to adopt its annual must-pass defence legislation , draft provisions – not all of which may end up in the final version – target China with measures impacting investors. These include potential outbound-investment reporting changes (impacting biotechnology and biopharmaceuticals) and proposed restrictions on importing humanoid robots and solar equipment, as well as using China-linked connected vehicles.



Source: [Carl Wang](#) on [Unsplash](#)

Appendix 1



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